Greensill and Credit Suisse

Why a fund scandal became a bank-wide confidence problem

Executive finding

Greensill was a major contributing factor, not the single cause, of Credit Suisse's failure. The collapse of Greensill Capital in March 2021 froze approximately USD 10 billion in four Credit Suisse-managed supply-chain-finance funds. The material damage came through client uncertainty, subsequent recoveries, legal exposure and an authoritative finding of deficient controls. Credit Suisse ultimately failed amid a separate, much broader deposit run in March 2023. [3,5,7,8]

How the financing worked

Greensill advanced suppliers cash against invoices, packaged the payment claims into securities and sold them to outside investors, including Credit Suisse funds. Some transactions instead financed *future receivables*: anticipated business rather than an existing invoice. Credit insurance was expected to absorb obligor default risk. Investors therefore depended on the quality of underlying claims, insurance renewal and Greensill's origination standards. [1,5]

March 2021 failure sequence

1 March: approximately USD 4.6bn of insurance cover was lost; some USD 4.1bn was in use. **2 March:** Greensill ceased originating new assets. **4 March:** Credit Suisse accelerated a USD 140m holding-company loan guaranteed by the UK entity. **8 March:** administrators were appointed. The funding and insurance shock triggered the fund wind-down. [1,2]

What regulators actually established

FINMA found that Credit Suisse Asset Management had **limited knowledge and control** over specific receivables: Greensill selected and reviewed claims and arranged insurance. Credit Suisse underestimated the risk of claims that had not yet arisen, inadequately challenged exposures and relied on Greensill's own answers. FINMA found serious breaches of risk-management and organisational duties, rather than merely bad market timing. [5]

Escalation failures

Questions emerged in 2018 after another manager shut a Greensill-related fund. Credit Suisse and FINMA received further critical warnings. A risk manager recommended rejecting a bridge loan; a senior manager overruled the recommendation. FINMA also found that personnel responsible for the Greensill relationship handled warnings about it, undermining independence. [5,9]

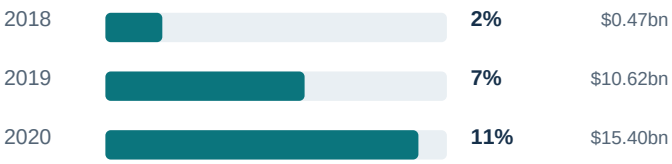
Financial exposure is not bank loss

The USD 10bn headline denotes **client fund NAV**, not USD 10bn of Credit Suisse proprietary losses. Similarly, the Greensill administrator's USD 17.74bn of assets under management covered a broader universe; only approximately USD 490m was identified as beneficially belonging to the UK entity. These figures must not be added together. [2,3]

Quantified warning signs

Dated and denominated indicators reconstructed from the uploaded records

Future receivables / annual asset flow



Annual origination flow, not receivables outstanding. [1]

From 2018 to 2020 the future-receivables share grew from **2% to 11%** of annual asset flow; the dollar volume grew about **32.8-fold** (USD 470m to USD 15.4bn). In both 2019 and 2020, **73%** of future-receivables flow was sold to Greensill Bank, versus 7% and 11% of total flow respectively. This highlights risk migration into an affiliated bank. [1]

Cross-source financial observations

Metric (dated observation)	Amount
CS funds: last NAV, Feb 2021	$10.0bn
CS funds: cash collected, 2Q21	$6.6bn
Distributed to investors, 2Q21	$5.5bn
Three high-risk groups, 2021	$2.3bn
Overdue, largest fund, Sep 2021	$2.1bn
GCUK AUM / own interest, Mar 2021	$17.74bn / $0.49bn

Interpretation: fund NAV is a dated stock; annual asset flow is a transaction-volume measure; collected cash is not equal to distributions; overdue face value is not an adjudicated loss. [1–4]

Investor recoveries were incomplete

Credit Suisse's June 2021 filing reported **USD 6.6bn collected** by the funds, including their initial cash positions and cash not yet distributed. At that point **USD 5.5bn had been distributed**, with a further USD 0.4bn distribution planned. The residual difference between original NAV and collected cash is **not a confirmed final loss**, because collections, insurance claims and litigation were ongoing. [3]

Where the remaining uncertainty sat

Credit Suisse named **GFG Alliance, Katerra and Bluestone** as three focus areas accounting for about **USD 2.3bn** of pre-March 2021 NAV. Its October 2021 disclosures show USD 1.8bn of those areas in the largest fund and USD 0.5bn in the High Income Fund. The largest fund had USD 2.1bn of notes already due but unpaid; roughly 86% of these overdue notes belonged to the focus areas. [3,4]

Auditor uncertainty and CS capital

PwC disclaimed an opinion on the Nova High Income sub-fund's 31 October 2020 statements because it lacked sufficient evidence to value notes representing **18.5%** of NAV; the issue was assessed with knowledge of events following year-end. Separately, Credit Suisse's own USD 90m Greensill bridge-loan position was marked down to USD 56m by June 2021. Do not conflate this bank asset with client fund losses. [3,6]

Analytical implication

The joint rise in future claims, concentrated group-bank funding, weak independent verification, insurance dependence and clustered arrears is a meaningful **combination of risk signals**. None of those signals alone proves fictitious invoices, intentional misstatement or criminal fraud.

From scandal to bank failure

A defensible causal chain and a testable analytics plan

Causal chain

Greensill funding collapse (2021) → illiquid Credit Suisse client funds → litigation, supervision and reputational damage → weaker confidence and franchise resilience. This interacted with Archegos's separate approximately USD 5.5bn loss and other governance failures. Credit Suisse's 2023 end-stage trigger was liquidity, not a sudden USD 10bn Greensill capital hole. [3,5,8,10]

The end-stage liquidity numbers

The Swiss National Bank reports that approximately **CHF 200bn** left Credit Suisse from October 2022 to March 2023: more than half its customer deposits and about 30% of its September 2022 balance sheet. Around CHF 90bn exited in October 2022 alone. This is evidence of system-wide confidence and run dynamics, **not an amount that can be assigned exclusively to Greensill**. [7]

How to detect comparable schemes

Build a transaction-level dataset with receivable IDs, invoice creation dates, purchase orders, shipment and customer confirmations, obligor legal entities, beneficial owners, maturity/payment dates, insurance coverage, originator approvals and fund purchases. Link borrowers and affiliates in a graph to identify group-level concentration. Verify that funded invoices existed at the financing date. [1,2,5]

Candidate tests and metrics

Existence: unmatched invoice rates, funding before documented purchase order and duplicate pledges.
Concentration: exposure to connected obligors and single insurers, including expiry scenarios.
Performance: aging-by-origination cohort, late-payment share and claims disputed by buyers.
Governance: overrides of risk denials, delayed escalation and exceptions to eligibility. [1,4,5]

Independent validation

Reconcile every note to independently confirmed underlying transactions and ultimate obligors. Separate data available *before* the March 2021 collapse from later information; otherwise the model suffers hindsight leakage. Back-test alerts using precision, recall, precision-at-review-budget, calibration and false-positive cost. Audit insurance claims against policy wording, not merely a recorded insurance flag. [2,5,6]

Challenges and communication

The uploaded files contain aggregate disclosures, selective holdings and retrospective findings, not a complete invoice-level transaction dataset. The model above is therefore a **proposed test plan**, not an executed fraud classifier. Present confirmed findings and hypotheses separately; rank investigations by materiality and evidence quality; protect confidential client information and retain an explainable audit trail.

Conclusion

Greensill mattered because Credit Suisse put investor assets into structures whose asset selection, documentation and insurance it did not independently control. The measurable warning signs preceded the collapse; the most serious consequence for the bank was accelerated erosion of institutional trust. The 2023 failure was ultimately a multi-cause liquidity crisis. [5,7,8]

Primary documents and citations

Numbers are presented at their original reporting dates; currencies are not converted

[1] UK House of Commons Treasury Committee, *Lessons from Greensill Capital*, chapter 2, PDF pp. 1–3. Supply-chain structure; 2018–2020 asset-flow table; insurance withdrawal; March 2021 timeline.

[2] Grant Thornton, *Joint Administrators' Proposals: Greensill Capital (UK) Ltd*, 28 April 2021, uploaded as *greensill-statements.pdf*, PDF pp. 9–12. Assets-under-management and insurance tables; administration background.

[3] Credit Suisse Group, *Financial Report 2Q21*, SEC-filed June 2021, PDF pp. 17–18, 97. USD 10bn SCFF NAV, collections and distributions, focus areas, and USD 90m bridge loan.

[4] Credit Suisse Asset Management, *Supply Chain Finance Funds: Portfolio Details*, October 2021, pp. 3, 7, 11, 15. Portfolio composition and overdue-note metrics as of 30 September 2021.

[5] FINMA, *FINMA concludes "Greensill" proceedings against Credit Suisse*, 28 February 2023, pp. 1–3. Enforcement findings, claim selection, insurance, control deficiencies and management overrides.

[6] Credit Suisse Nova (Lux), *Audited Annual Report at 31 October 2020*, PwC auditor report, PDF pp. 3–8. Qualified combined opinion and disclaimer on High Income Fund.

[7] Swiss National Bank, *Financial Stability Report 2024*, p. 52. CHF 200bn withdrawal estimate and dynamics of the 2022–23 liquidity crisis.

[8] FINMA, *FINMA publishes report and lessons learned from the Credit Suisse crisis*, 19 December 2023, pp. 1–2. Multi-causal loss of confidence, repeated scandals and governance defects.

[9] *The Guardian*, 13 June 2025, *Credit Suisse was "warned" about Greensill three years before firm collapsed*, PDF pp. 1–2. Later reporting on 2018 internal warnings.

[10] Credit Suisse Group Special Committee, *Report on Archegos Capital Management*, 29 July 2021, SEC document, opening executive summary. The Archegos loss and separate risk-management failures.

[11] Swiss Federal Council, *Federal Council Report on Banking Stability*, April 2024, p. 39. Repeated scandals, poor implementation of strategic changes and deposit withdrawals.

[12] Swiss Parliamentary Investigation Committee, *Lessons from the Credit Suisse crisis*, 20 December 2024, pp. 1–3. Responsibility of bank leadership and critique of supervisory effectiveness.

Method note

Percentages and comparisons were recomputed only where both numerator and denominator were explicitly disclosed. Published totals may be rounded; figures at different reporting dates are not presented as directly additive. Focus-area assets and fund NAV are not bank-owned proprietary losses.

Scope

Prepared from the documents supplied with the request, including financial statements, regulatory reviews, insolvency filings and the UK parliamentary inquiry. No invoice-level data, current recovery statements or unpublished legal evidence were assumed.